

Hello Everyone,

For this week's discussion, I examined both budgeting methods in the context of my project to redevelop the Sanford B. Ladd School into a community resource hub. Each method offers a different way of estimating costs, and both reveal important insights into the risks that could affect the project.

Top-Down Budgeting in My Project

Top-down budgeting would begin with a high-level estimate based on comparable historic school redevelopments in Kansas City. In my proposal, the total project cost range of 10 to 13.7 million dollars reflects this type of estimate. Leadership or funders would set the overall budget ceiling first, and the project team would then work backward to allocate funds across major phases such as environmental review, building renovation, and program development. This approach is fast and useful for early grant applications, but it introduces risk if the initial assumptions do not match the actual conditions of a historic building. For example, if the top-down estimate underestimates structural deterioration, the project could face significant cost overruns once renovation begins.

Bottom-Up Budgeting in My Project

Bottom-up budgeting would rely on the detailed activities in my Work Breakdown Structure from Module Three. Each work package, such as hazardous materials abatement, window restoration, HVAC installation, or raised bed construction, would receive its own cost estimate. These individual estimates would then roll up into the total project budget. This method is more accurate because it is grounded in the actual scope of work. However, it requires more time, more coordination with contractors, and more detailed design information than is usually available at the early planning stage. Bottom-up budgeting also reveals risks that may not be visible in a top-down approach, such as supply chain delays for HVAC units or the cost of specialized environmental testing.

Identifying Risks Using a Risk Register

To identify risks, I developed a risk register that aligns with the WBS and the realities of a long-term community redevelopment project. The register includes negative risks such as environmental review delays, cost overruns, and governance bottlenecks, as well as positive risks such as additional grant funding or higher than expected volunteer turnout. Each risk includes a numeric probability and severity rating, a calculated risk value, a strategy type, and a designated owner.

The following risk register summarizes the risks I identified for this project.

Redevelopment of the Sanford B. Ladd School into a Community Resource Hub Risk Register

ID	Risk Description	Event, Causes, Impacts	Probability	Severity	Risk Value	Risk Level	Risk Response Strategy	Risk Owner	Notes or Trends
1	Environmental Review Delays	Environmental testing may reveal hazardous materials beyond initial expectations. Causes include the age of the building and incomplete historical records. Impact includes delays in permitting, increased abatement costs, and a stalled renovation schedule.	4	5	20	High	Reduce: Conduct early environmental sampling, build contingency time into the schedule, and secure an abatement contractor with historic building experience.	Environmental Consultant, Project Manager	Older school buildings in Kansas City frequently uncover asbestos or lead during review.
2	Grant Funding Delays or Denials	HUD CDBG, CCED Sales Tax, or EDA Public Works grants may be delayed or not awarded. Causes include competitive cycles and shifting municipal priorities. Impact includes gaps in the funding plan and potential postponement of construction.	3	5	15	High	Avoid: Submit early, maintain communication with grant officers, prepare alternate funding pathways, and phase construction to match available funds.	Grant Compliance Specialist, Steering Committee	Federal and municipal grant cycles often shift based on budget year.
3	Contractor or Skilled Labor Shortages	HVAC, electrical, and plumbing contractors may be unavailable due to regional labor shortages. Impact includes increased costs, schedule delays, and reduced ability to maintain parallel workstreams.	3	4	12	Medium	Transfer: Prequalify multiple contractors, secure early commitments, and include incentives for schedule adherence.	Project Foreman, Procurement Lead	Kansas City construction demand has been elevated for several years.
4	Community Engagement Fatigue	Residents may disengage from meetings or governance activities. Causes include long project duration and competing life demands. Impact includes reduced community ownership and weaker alignment with neighborhood needs.	3	3	9	Medium	Reduce: Rotate meeting formats, provide childcare and food at events, and maintain transparent communication.	Community Engagement Lead	Engagement must be sustained across a 36 to 38 month timeline.
5	Cost Overruns in Building Renovation	Unexpected structural issues or inflation in material costs may increase renovation expenses. Impact includes budget strain and potential scope reduction.	4	5	20	High	Reduce: Maintain a contingency reserve, conduct thorough structural analysis, and prioritize critical systems first.	Architect, Project Manager	Historic buildings often reveal hidden structural deterioration.
6	Delays in Architectural or Construction Documents	Architectural drawings or specifications may take longer than planned due to design revisions or compliance requirements. Impact includes delayed permitting and construction start.	3	3	9	Medium	Reduce: Set clear deadlines, schedule weekly design check ins, and confirm code requirements early.	Architect	Multiple program spaces increase design complexity.
7	Supply Chain Disruptions for Key Materials	Windows, HVAC units, or electrical components may be delayed due to manufacturing or shipping issues. Impact includes stalled progress during the renovation phase.	3	4	12	Medium	Reduce: Order long lead items early, identify alternate suppliers, and store materials onsite when possible.	Procurement Lead	HVAC units have had extended lead times in recent years.
8	Volunteer Shortages for Garden and Pantry Operations	Insufficient volunteers may limit the ability to maintain the garden or operate the pantry. Impact includes reduced program quality and community dissatisfaction.	3	3	9	Medium	Accept: Partner with local schools, churches, and civic groups to build a volunteer pipeline.	Volunteer Coordinator	Volunteer burnout is common in long term community projects.
9	Weather Related Delays	Heavy rain, snow, or extreme heat may delay exterior work or garden installation. Impact includes schedule slippage and compressed timelines for planting.	3	3	9	Medium	Accept: Build weather buffers into the schedule and prioritize interior work during adverse conditions.	Project Foreman	Kansas City weather patterns are unpredictable during spring and fall.
10	Governance or Decision Making Bottlenecks	The community steering committee may struggle to reach consensus or may have inconsistent attendance. Impact includes delays in approvals and slower progress on program development.	3	3	9	Medium	Reduce: Establish clear voting procedures, maintain quorum requirements, and provide facilitation support.	Steering Committee Chair	Community governance structures require ongoing support and clarity.
11	Technology Infrastructure Failures	Networking equipment or computer lab systems may fail during installation or early operation. Impact includes delays in launching the job center and educational programs.	2	3	6	Medium	Transfer: Test systems before opening, maintain warranties, and secure IT support partnerships.	Technology Coordinator	Technology is essential for workforce development programming.
12	Safety Incidents During Construction	Accidents involving workers or volunteers may occur. Impact includes injuries, work stoppages, and potential liability.	2	5	10	Medium	Avoid: Enforce safety protocols, conduct training, and maintain proper supervision.	Project Foreman, Safety Officer	Community labor increases the need for consistent safety oversight.
13	Opportunity: Additional Grant Funding Awarded	The project may receive more funding than expected through supplemental HUD allocations or philanthropic contributions.	2	4	8	Medium	Exploit: Immediately allocate additional funds to high impact improvements such as expanded technology infrastructure or additional program spaces.	Grant Compliance Specialist	Some Kansas City community development projects have received mid cycle supplemental awards.
14	Opportunity: Higher Than Expected Volunteer Turnout	Community enthusiasm may result in more volunteers than anticipated for garden installation, pantry operations, or events.	3	3	9	Medium	Enhance: Create additional volunteer roles, expand garden beds, and increase pantry service hours to maximize community benefit.	Volunteer Coordinator	Strong community identity in Oak Park increases the likelihood of high turnout.
15	Opportunity: Partnership Contributions Reduce Operating Costs	Partner organizations such as Kansas City Parks and Recreation or the Kansas City Public Library may contribute staff time, programming, or materials at no cost, reducing operational expenses.	3	4	12	Medium	Share: Formalize partnership agreements that outline shared responsibilities, cost sharing, and resource contributions to maximize mutual benefit.	Program Development Lead	Many community hubs in Kansas City operate with shared staffing or programming support from partner agencies.
16	Unexpected Structural Damage Exceeds Budget	Structural deterioration discovered during demolition may exceed contingency funds.	3	5	15	High	Transfer: Use construction insurance, contractor guarantees, or negotiated responsibility clauses to shift part of the cost burden.	Architect, Project Manager	Historic buildings often reveal hidden structural issues.
17	Community Conflict or Governance Disputes	Disagreements within the steering committee may slow decision making or reduce cohesion.	2	4	8	Medium	Avoid: Establish clear governance rules, mediation procedures, and decision making protocols early.	Steering Committee Chair	Early structure prevents long term conflict.

How the Risk Register Helps Mitigate Issues

Risk registers help project managers anticipate and plan for issues that could affect the project's schedule, budget, or community engagement. For example, environmental review delays and cost overruns both received high risk values, which signals the need for early testing, contingency funds, and clear communication with contractors. Risks such as volunteer shortages or weather delays received medium ratings, which means they require monitoring but not major changes to the project plan. Including positive risks also strengthens the analysis because it highlights opportunities that could expand the project's impact if they are managed intentionally.

Overall, the risk register provides a structured way to think about uncertainty and to match each risk with an appropriate response strategy. It also highlights the value of planning for risks early rather than reacting to them after they occur. Proactive risk management allows the project team to prepare realistic responses, allocate contingency resources, and communicate expectations clearly. This approach reduces the likelihood that unexpected issues will derail the schedule or budget and helps maintain community trust throughout the redevelopment process. It also reinforces the connection between the WBS, the budgeting approach, and the practical realities of managing a complex community redevelopment effort.

Thanks for reading,

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